

HEDGEYE DAILY DIGEST

Daily Research Digest | July 30, 2026 (GMT+8)

Top line: The July #Quad4 unwind rolled into its most violent phase — a **-30%+** month for leveraged momentum, memory (DRAM) and AI-datacenter exposure, and a South Korean KOSPI crash of **~38%** peak-to-trough — even as market breadth quietly improved (**71%** of S&P names up **+2.6%** on the day). Keith McCullough leaned into the rotation: fresh **long Energy** (XLE, CRAK) on the correction, still **long Health Care / REITs / Utilities / defensives**, still **short Tech**. The forward regime shifts to monthly #Quad3 (reaccelerating inflation via Oil), with the real danger the **quarterly growth peak** and a potentially **hawkish Fed** into a slowdown.

Today's Publications

FROM THE DESK — KM's Coaching Lesson of The Week

From The Desk · 07/29/26 01:15 PM EDT (07/30 01:15 AM GMT+8) · Keith McCullough

Keith McCullough used his weekly coaching note to walk Hedgeye Nation through what he is calling the “**Mother of all Bubbles**” setup. He starts with the monthlies: the **Monthly Quad is shifting from #Quad4 to #Quad3**, but these are *probabilities* that can change quickly — energy and CPI have already nudged the most recent nowcast back higher.

The core discipline is to **buy what the Signal says, not what's “on the page.”** His analogy of the week: you like salmon, but if you see salmonella on it, you don't buy it. A stock that would normally screen as a **Quad 4 buy but carries a Bearish TREND signal** is that salmon. Wall Street wants perfect, clean setups; the Hedgeye discipline is to “think like Sesame Street, not like Wall Street” and wait for the Signal to confirm the journey the Quad map lays out.

The bigger warning is structural. In any slowdown — Quad 3 or Quad 4 — **a company with a decelerating top line gets its stock annihilated**. On a **2-year base-effect model**, this is the **cycle peak**, which makes the coming comparison the “mother of all Quad 4 comparisons.” The danger zone is the move from cycle peak into Q3 with the **Fed potentially raising rates into it**. Monthly consumer PCE may look better through that window, but the **quarterly** number — the “whole enchilada,” including government spending — is what the market really worries about.

Peaks, he argues, are already in on **GDP, semis, the Mag 7 and momentum**, and by **1H 2027** investors will be lapping “twin-tower comps” — a dangerous place to be if you're bag-holding the whole way down. His closing challenge: when someone says they like **Google** “longer term,” ask what longer term means — six-to-twelve months out it is likely *worse*, not better, from a Quad perspective.

Yesterday's Publications

EARLY LOOK — “Quad Candy vs. Crowded Carnage”

Early Look · 07/29/26 07:55 AM EDT · Keith McCullough

What: The flagship daily macro note framed July as a market that produced two opposite outcomes at once — brutal losses in crowded consensus trades and solid gains across the defensive/value book — depending entirely on which *process* you were running.

Quad positioning: July Monthly Nowcast was **#Quad4**; August shifts to Monthly **#Quad3**, meaning **inflation reaccelerates sequentially (MoM) in Aug vs. Jul**, driven by the breakout in **Oil and major commodities**.

The carnage (crowded longs): TMT Memory **-30.5%**, GS High-Beta Momentum basket **-30.9%**, AI Data Centers **-19.4%**. The GS TMT “Mo Pair” (consensus longs vs. shorts) fell **-11.8% in a single day** and **-39% over the month** — even “long good / short bad” funds fared worse than the levered-long crowd.

The candy (Hedgeye’s book): Long **GARP Software +8.4%**, Long **US Healthcare +5.3%**, Long **REITs (XLRE) +4.5%**. Keith flagged he does not chase, then bought **Energy on sale via XLE and CRAK** once the signal turned the equity selloff into an entry.

Breadth: **7 of 11 Sector Styles green; 71% of SPY stocks up +2.6%** — the “value” hiding beneath a flat index.

Risk Range™ Signals:

Asset	Risk Range	TREND
10Y UST Yield (UST10Y)	4.54 - 4.72	Bullish
High Yield (HYG)	79.02 - 79.80	Neutral
Investment Grade (LQD)	105.7 - 107.5	Bearish
S&P 500 (SPX)	7356 - 7549	Bullish
NASDAQ Comp (COMPQ)	24602 - 25667	Bearish
Russell 2000 (RUT)	2923 - 2991	Bullish
Technology (XLK)	169 - 179	Bearish
Health Care (XLV)	161 - 168	Bullish
Utilities (XLU)	45.00 - 46.62	Bullish
Real Estate (XLRE)	44.99 - 46.88	Bullish
Volatility (VIX)	16.07 - 19.93	Neutral
US Dollar (USD)	100.65 - 101.86	Bullish
WTI Crude (WTIC)	76.97 - 92.98	Bullish
Nat Gas (NATGAS)	2.56 - 2.95	Bearish
Gold	3976 - 4135	Bearish
Copper	6.14 - 6.52	Bullish
Silver	55 - 60	Bearish

Investment implication: Stay disciplined against chasing broken momentum. The signal favors **Energy, Health Care, REITs, Utilities, defensives and the US Dollar** (all Bullish TREND) and remains against **Tech (XLK), NASDAQ, Investment Grade credit and Gold** (Bearish TREND). The regime shift to #Quad3 is why Energy became new “value.”

MOMO TRACKER — “Unwind In Full Swing”

Momentum Stock Tracker · 07/29/26 08:07 AM EDT · Drake / Ricci

What: Daily momentum dashboard for the Mag7/“Bag7” and major equities. **Mag7 +0.5%** on the day, but the story is ongoing **rotation & dispersion** and a **KOSPI down ~6% again**, underscoring “the unwind is in full swing.”

Takeaway: Momentum and semiconductor leadership keep breaking down beneath the surface even on up days for the mega-cap index — consistent with **XLK and NASDAQ carrying Bearish TREND** signals.

THE MACRO SHOW — Summary Notes (Wed, July 29)

The Macro Show · 07/29/26 10:32 AM EDT

What: The daily show detailed the tech/semis unwind and the rotation. **Bullish names:** XLE, CRAK, XLV, IAK, XLRE, XLU, NOBL, RSP, AAPL, EPHE (Philippines), GLD, USD. **Bearish:** EWY (S. Korea), XLK, QQQ, PTF, MEME, CARZ, URA (Uranium), QAT, EIS.

South Korea: KOSPI fell **12–13% intraday** before recovering; total drawdown from the semiconductor cycle peak **~38%**. Still short via **EWY**, but near the low end of range and showing exhaustion (possible bounce). 3x-leveraged semis fell **~15%** on heavy volume.

Energy: New longs **XLE + CRAK** bought on the correction. **WTI held Trend support ~\$81**; Alpha Code **\$83 Trade / \$81 Trend** — above \$81 keeps the bull trend intact.

Rotation & breadth: **XLV +2.4%** vs. **XLK -1.8%** on the day; **XLRE +4.5%** for July. **~71%** of S&P names up **~2.6%** avg.

Tech: High-beta momentum **-9.4% in one day**, **~35%** over the month. **AAPL** the only “Bag7” name Hedgeye stayed long; **MSFT** could bounce, **META** = “stay away.”

Volatility & positioning: **VIX** set a higher low on a **16-handle** (vs. old 13–15); 1-month vol > 3-month vol; negative-gamma tape. All three hedge-fund strategy groups lost **>1%** on the day — not seen collectively since the pandemic.

Fed / Rates: **MOVE Index** flags a volatile bond tape; Hedgeye’s Fed frontrunner sees **hawkish risk over the next 2–3 months** as inflation reaccelerates. 10Y Alpha Code **~4.55% Trade / 4.45% Trend**; 2Y making higher highs.

Gold: Cut from a normal **~3%** minimum to **~1%** (“trophy” position after a cumulative **~+42%** gain); watching for a higher low to confirm before rebuilding.

Takeaway: The Quad sets the *menu*; the **Signal decides what’s actually buyable**. Real GDP has peaked, with harder comps into 1H 2027 — the “mother of all bubbles” meeting deteriorating growth/revenue expectations, made worse by a possible Fed tightening after the growth peak.

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 07/29/26 09:12 AM EDT · McGroarty / Nanai / Salem

What: Daily HAM model-portfolio dashboard. The catalogued Model Portfolio Changes go into effect using **closing prices Friday, July 24th, 2026**. Trend/Tail levels for the **68 ETFs** are refreshed on the standard 3–4 week cycle.

Takeaway: No new same-day trade broadcast in the note itself (pull-not-push model); the July Monthly Commentary + Model Portfolio Changes and the pending July Key Callouts video are the reference deliverables.

SIGNAL STRENGTH STOCKS — 68 Stocks (2 Added, 2 Removed)

Signal Strength Stocks · 07/29/26 11:38 AM EDT

What: The screen of stocks with the strongest Hedgeye signals now stands at **68 names**. **Added:** LMT, XYL. **Removed:** OC, MAS.

Takeaway: Additions of **Lockheed Martin (LMT)** and **Xylem (XYL)** — defense and water/industrials — fit the rotation toward quality/defensive leadership; removals of **Owens Corning (OC)** and **Masco (MAS)** trim housing-linked cyclical.

CRYPTO QUANT / BITCOIN TREND TRACKER

Bitcoin Trend Tracker · 07/29/26 07:44 AM EDT · Drake / Steiner / Cooper

What: BTC **+0.9%** overnight. Themes flagged: progress (and questions) on the **CLARITY Act**, a **post-quantum cryptography vulnerability** discussion, **spot volume declining**, and **Layer-2 TVL falling sharply**.

Takeaway: Crypto is holding up better than equity momentum, but on-chain activity and volume are softening — a caution flag beneath a flattish BTC tape.

OTHER NOTES

Additional research · 07/29/26

ETF Pro Plus — “6 New ETF Pro Changes” (10:48 AM EDT): six fresh ETF rotation changes consistent with the shift into Energy/defensives and out of Tech.

Digital Assets — “L1 Watch | Weekly Update” (06:45 AM EDT): weekly Layer-1 chartbook update.